AUTOMOBILE ENGINEERING · PART 10 OF 12

The Indian Car Market Today

By Isagi · 9 November 2026 · All specs as of November 2026 (manufacturer brochures and listings)

TL;DR

India sold about 47 lakh passenger vehicles in FY2026 (April 2025 to March 2026). Official SIAM wholesale was 46,43,439 units (+7.9%); FADA retail registrations were 47,05,056 (+13.0%). Maruti Suzuki still sells nearly two in five cars (about 39% share), but its share is slipping as Mahindra, Tata, Toyota and Skoda grow and Hyundai shrinks. The market is concentrated: three makers hold two-thirds of sales. Utility vehicles (SUVs plus MPVs) were 67% of wholesale. Electric cars reached 4.25% of FY2026 retail and were 7–9% of monthly sales by September–October 2026. As of November 2026, the numbers below are verified against SIAM, FADA and trade compilations; sources differ slightly.

1. How big is the market, and which number to use

Two data sets are used in India, and they answer different questions:

- **Wholesale (dispatches):** cars the maker sent to dealers, reported monthly by SIAM and company statements. SIAM's official FY2026 figure is 46,43,439 units, up 7.9%. A trade compilation by Rushlane gives 46,83,208 (+8.4% on 43.2 lakh in FY2025); the maker shares in Section 2 use that compilation, because SIAM does not publish maker-wise numbers in the same form.
- **Retail (registrations):** cars actually registered to buyers, from the government's VAHAN database via FADA. FY2026 came to 47,05,056, up 13.00% on 41.64 lakh. FADA's retail leaders: Maruti 18,68,386 (39.71%), Mahindra 6,31,638, Tata 6,13,513, Hyundai 5,78,337.

The two differ because dealer stock rises and falls. If makers dispatch more than dealers sell, stock builds up; wholesale grows faster than retail. A manager should read both: retail shows real demand, wholesale shows what the factories were doing.

2. Who sells what: FY2026 market share

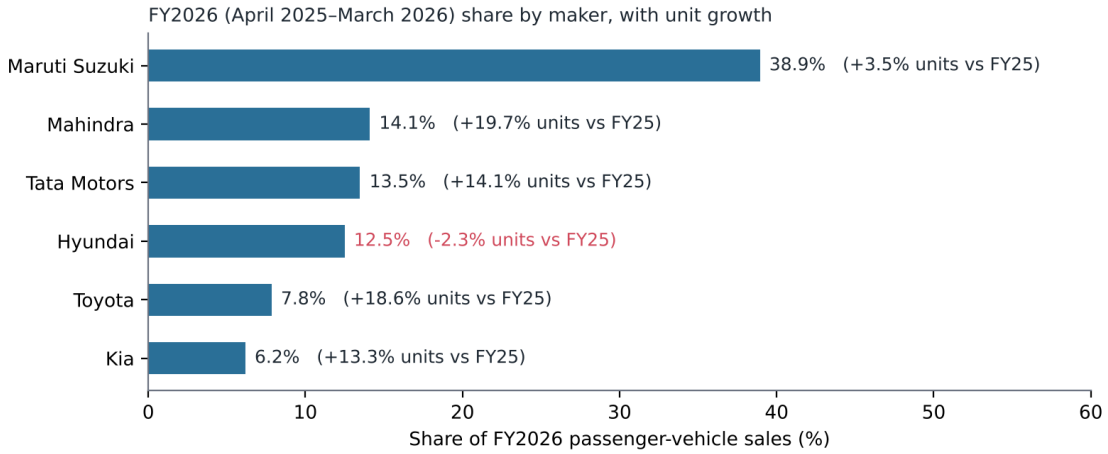


Fig 1. Share of FY2026 sales by maker (Rushlane wholesale compilation) with unit growth against FY2025.

Maker	FY26 units	FY26 share	Change in units
Maruti Suzuki	18,23,130	38.93%	+3.5%
Mahindra	6,60,276	14.10%	+19.7%
Tata Motors	6,31,387	13.48%	+14.1%

Maker	FY26 units	FY26 share	Change in units
Hyundai	5,84,906	12.49%	−2.3%
Toyota	3,67,152	7.84%	+18.6%
Kia	2,89,035	6.17%	+13.3%
Skoda	75,555	about 1.6%	+68.4%

Other FY2026 movements: MG grew 17.3%, Honda fell 6.0% and Volkswagen fell 11.0%. VinFast, a new entrant, had 2,390 retail registrations (FADA) covering part of its first year in India. Maruti's wholesale share fell from about 40.8% to 38.9%.

3. A concentrated market

- The top three makers (Maruti, Mahindra, Tata) hold 66.5% of the market; the top five add Hyundai and Toyota to reach 86.8%.
- A standard concentration measure, the Herfindahl-Hirschman Index (sum of squared shares), is about 2,150 from the six largest makers alone, a level that competition regulators in the US treat as highly concentrated (above 1,800).*
- In the retail data, Mahindra ranked second for the full year, about 18,000 cars ahead of Tata; in the January–June 2026 data, Tata (14.6%) was ahead of Mahindra (13.8%). Rankings flip between periods, so always state the period.

For a manager, the message is that scale advantages (platforms, dealer networks, supplier leverage) are large, and Mahindra and Tata, whose lineups are mostly SUVs, grew faster than the overall market (19.7% and 14.1% against 8.4%).

4. What actually sells: best-selling models

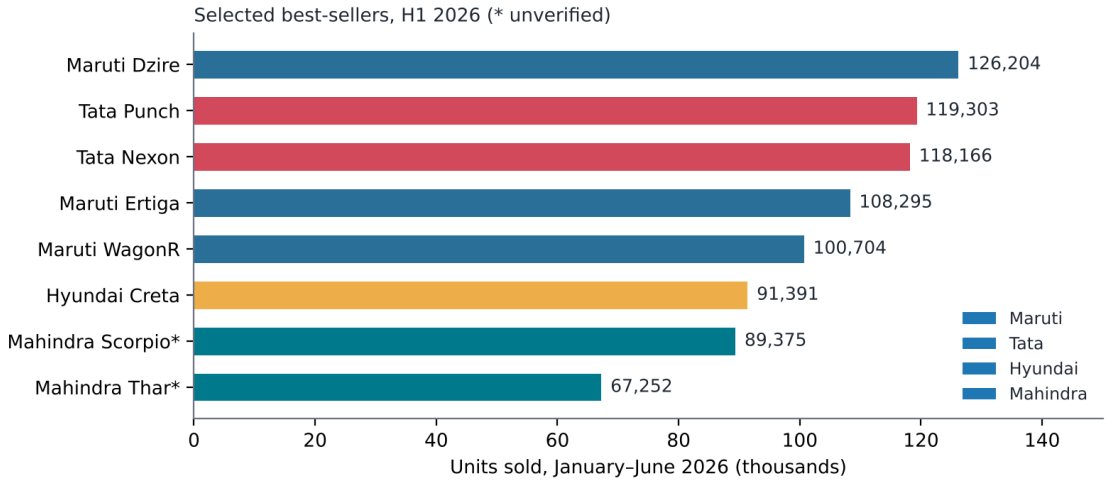


Fig 2. Selected best-sellers, January–June 2026 (H1 2026). The Scorpio entry combines the Scorpio-N and Scorpio Classic. * Scorpio and Thar figures could not be independently verified.

This is a selection, not a ranked top eight (Dzire, Punch, Nexon, Ertiga, WagonR and Creta are confirmed; Scorpio and Thar* are unverified, and other models may sit in between). Among these, five are SUVs (Punch, Nexon, Creta, Scorpio, Thar), one is a sedan (Dzire), one is an MPV (Ertiga) and one is a hatchback (WagonR). The Tata Punch topped annual sales in 2024 with 2,02,030 units, ending Maruti's long hold on the top spot. The picture moved again in April–September 2026 (H1 FY27): the Dzire (1,25,988) led the Punch (1,23,287) by only 2,701 units, followed by the Ertiga (1,12,557) and Nexon (1,11,919); the Creta sold 89,727 (−9.7%).

5. Forces shaping the market

- **SUV shift:** buyers keep moving up from hatchbacks to compact and mid-size SUVs. Utility vehicles (SUVs plus MPVs) were 67% of FY2026 wholesale, up from 65% in FY2025, and about 68% in the first quarter of FY2027.
- **Tax (GST 2.0):** from 22 September 2025, small petrol cars (up to 1,200 cc and 4 m) and small diesels (up to 1,500 cc) moved to 18% GST from 28%; larger cars moved to 40% with the compensation cess abolished; EVs stay at 5%; hybrids follow the same thresholds as petrol cars. This lowered the effective tax on small cars most. None of the sources I retrieved quantify its effect on sales.
- **Fuel choices:** EVs were 1,99,923 retail units in FY2026 (4.25%, up from 2.61%), CNG was 21.98%. In 2026 EV share was 8.5–8.7% in September and 7.3% in October (36,640 units), with hybrids at 9.94% in October; January–October EV registrations totalled 2,87,453. Parts 6 and 7 cover these.
- **Safety:** Bharat NCAP and Global NCAP ratings (Part 5) are now a marketing weapon, and six airbags are becoming common.
- **New entrants:** VinFast and Chinese-linked brands such as MG show that capital and product can disrupt a concentrated market.

6. How a manager should read these numbers

- Always note period (FY vs calendar half) and data type (wholesale vs retail).
- Share is zero-sum; look at units and growth to see who is actually growing.
- Look at models, not just brands: a few models carry a brand (Dzire, Punch, Nexon, Ertiga).
- Policy changes (GST, safety rules, fuel norms) move demand faster than product launches.

Summary

- India sold about 47 lakh passenger vehicles in FY2026 (SIAM wholesale 46.43 lakh, +7.9%; FADA retail 47.05 lakh, +13.0%).
- Maruti has about 39% but is losing share; Mahindra, Tata, Toyota and Skoda are growing, Hyundai is shrinking.
- The market is concentrated: the top three hold 66.5%.
- Compact SUVs dominate the best-seller list; utility vehicles are 67% of wholesale.
- GST cuts, safety ratings, hybrids/CNG and EVs are the main forces to watch.
- Always state the period and the data source when quoting market share.

*Unverified or general knowledge: the HHI threshold is the US antitrust guideline value and is applied here as a rough indicator; the Scorpio (89,375) and Thar (67,252) H1 2026 figures could not be independently verified. Cross-checked in November 2026: SIAM FY2026 wholesale (46,43,439, +7.9%), FADA FY2026 retail (47,05,056, +13.00%; Maruti 18,68,386, 39.71%), maker table (Rushlane wholesale compilation, 46,83,208), Dzire, Punch, Nexon, Ertiga, WagonR and Creta H1 2026 figures, April–September 2026 model ranking, Punch 2024 sales (2,02,030), utility-vehicle share, EV share and GST rates (PIB, India Briefing). Maker and period data differ across sources; units and shares may be revised.

See also: the rest of the Automobile Engineering series (parts 1 to 12). Next: Part 11.